Exhibits excluding the two incredible weight guessers

Results

Figure 1: Delegation shares by condition

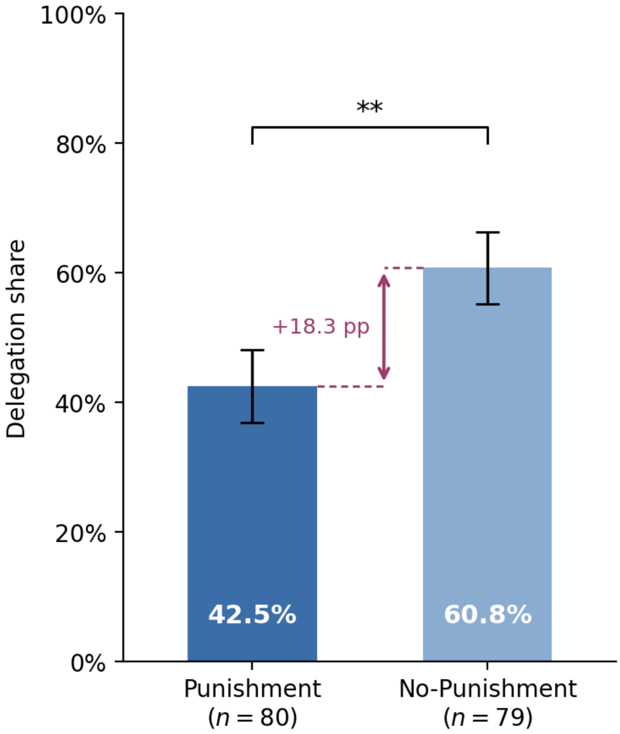


Table 1: Determinants of the delegation decision

	Dependent variable: *Delegation*				
	Full sample				*Passers*
	(1)	(2)	(3)	(4)	(5)
Punishment indicator	−0.462**	−0.473**	−0.537**	−0.489**	−0.589**
	(0.201)	(0.206)	(0.209)	(0.207)	(0.235)
Task performance			−0.160**		−0.203**
			(0.081)		(0.089)
Perceived performance				−0.075	
				(0.057)	
Age		−0.003	−0.002	−0.002	0.002
		(0.009)	(0.009)	(0.009)	(0.011)
Female		0.141	0.194	0.181	0.372
		(0.228)	(0.230)	(0.231)	(0.257)
Socio-economic status		−0.044	−0.042	−0.036	−0.086
		(0.071)	(0.073)	(0.072)	(0.081)
Went to uni		0.032	0.062	0.020	0.118
		(0.228)	(0.226)	(0.227)	(0.248)
Technology score		−0.065	−0.036	−0.056	0.024
		(0.093)	(0.096)	(0.093)	(0.109)
Leadership position		0.415*	0.444*	0.411*	0.278
		(0.226)	(0.228)	(0.226)	(0.256)
Constant	0.273*	0.533	0.908	0.801	0.851
	(0.143)	(0.557)	(0.593)	(0.606)	(0.673)
AME of Punishment (pp)	−18.3**	−18.3**	−20.3***	−18.7**	−21.8***
	($p = 0.019$)	($p = 0.019$)	($p = 0.008$)	($p = 0.016$)	($p = 0.009$)
N	159	157	157	157	128
Pseudo R^2	0.024	0.042	0.060	0.051	0.077

Note: Coefficients from a Probit regression of the delegation decision on the Punishment indicator and a set of controls. Robust (HC1) standard errors in parentheses. Significance: $^{*}p < 0.10$; $^{**}p < 0.05$; $^{***}p < 0.01$ (two-sided). Due to missing socio-demographic data, two subjects are dropped in Columns (2)–(5). The *AME of Punishment* reports the average change in the predicted probability of delegation from introducing the punishment possibility, in percentage points.

Figure 2: Player B punishment by delegation and outcome scenario

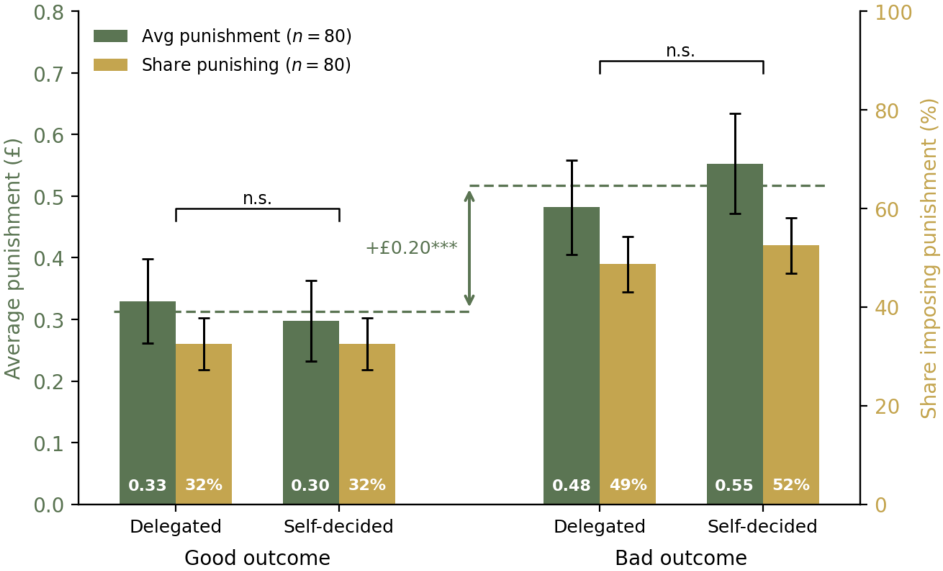


Table 2: Determinants of Player B's chosen punishment

	Dependent variable: *Punishment (£)*	
	Full sample	*Passers*
	(1)	(2)
Delegated	0.032	0.001
	(0.052)	(0.054)
Bad outcome	0.256***	0.260***
	(0.071)	(0.080)
Delegated × Bad outcome	−0.103*	−0.078
	(0.058)	(0.052)
Player B belief about Player A perf.	−0.020	0.001
	(0.032)	(0.037)
Age	0.002	−0.001
	(0.005)	(0.006)
Female	−0.100	−0.064
	(0.128)	(0.140)
Socio-economic status	0.083*	0.072
	(0.047)	(0.049)
Went to uni	−0.196	−0.098
	(0.140)	(0.142)
Technology score	0.073	0.030
	(0.053)	(0.059)
Leadership position	0.083	0.061
	(0.142)	(0.164)
Constant	−0.077	0.020
	(0.328)	(0.374)
Observations	320	268
Subjects	80	67
Adj. R^2	0.077	0.030

Note: OLS regression of Player B's chosen punishment levels. The sample is stacked over the four (delegation, outcome) scenarios of the strategy method (4 observations per Player B). Column (1) uses the full Punishment-condition sample. Column (2) restricts to Player Bs who passed the attention check on the punishment-elicitation screen. Standard errors clustered at the Player B level.

Figure 3: Realized vs. anticipated punishment, by scenario

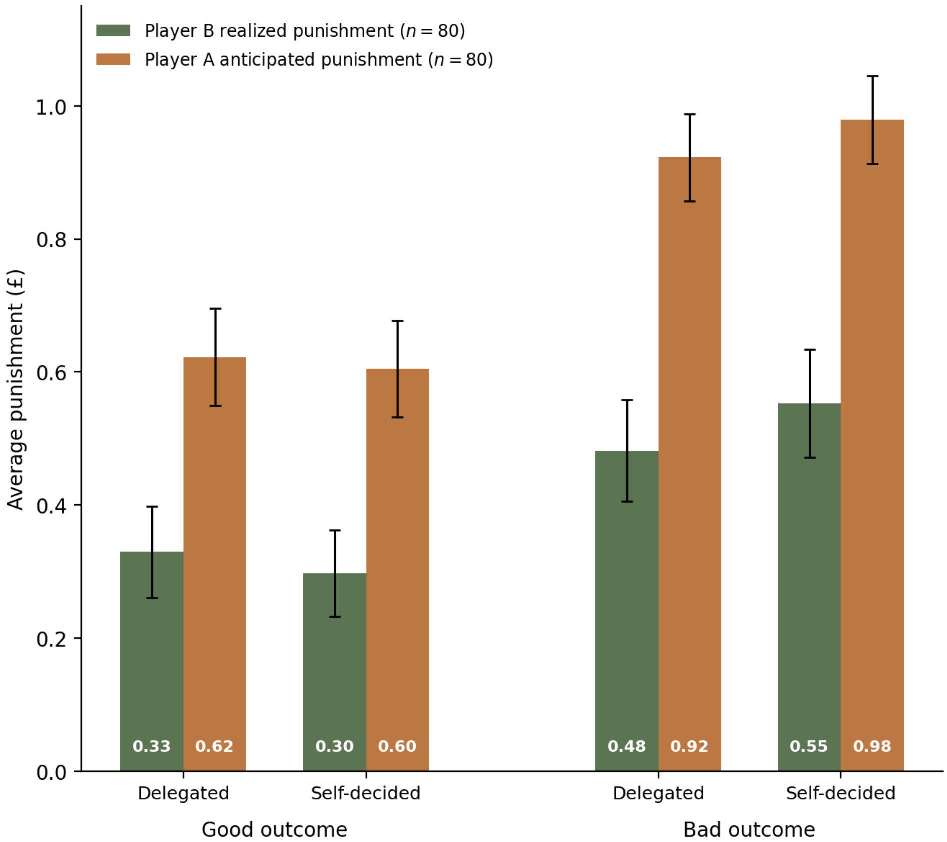
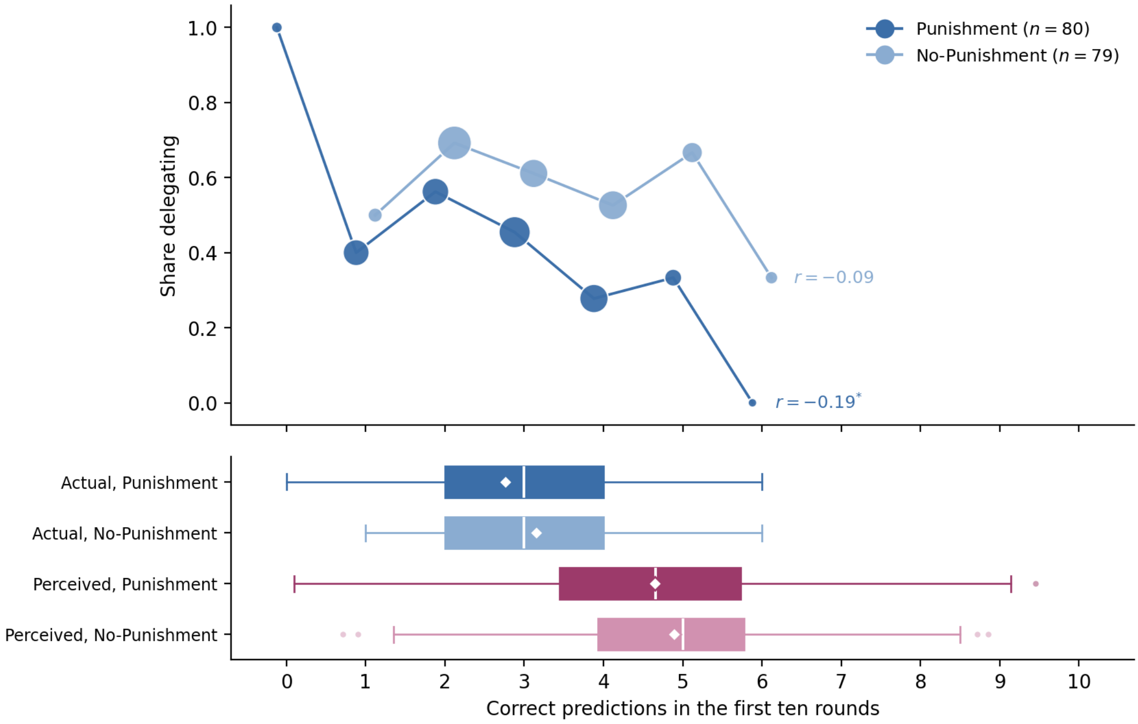


Table 3: Delegation and beliefs about punishment

	Dependent variable: *Delegation*				
	Full Punishment		*Punishment, passers*		
	(1)	(2)	(3)	(4)	(5)
Belief difference, average ($\overline{\Delta}$)	0.346	0.398	1.661**		
	(0.407)	(0.448)	(0.700)		
Belief difference, weighted by Pr(good) (Δ^{w})				1.992**	
				(0.794)	
Belief difference, bad outcome (Δ^{bad})					0.590
					(0.424)
Belief difference, good outcome (Δ^{good})					0.961**
					(0.412)
Task performance		−0.208*	−0.362***	−0.342**	−0.381***
		(0.111)	(0.136)	(0.142)	(0.138)
Age		0.023*	0.039**	0.040**	0.039**
		(0.012)	(0.016)	(0.016)	(0.016)
Female		0.152	0.950**	1.026**	0.845*
		(0.350)	(0.427)	(0.406)	(0.444)
Socio-economic status		−0.049	−0.006	−0.055	0.001
		(0.111)	(0.131)	(0.133)	(0.126)
Went to uni		0.071	−0.278	−0.169	−0.275
		(0.363)	(0.412)	(0.408)	(0.409)
Technology score		−0.061	0.048	0.072	0.033
		(0.138)	(0.170)	(0.173)	(0.167)
Leadership position		0.302	−0.301	−0.279	−0.245
		(0.312)	(0.408)	(0.408)	(0.411)
Constant	−0.198	−0.345	−1.228	−1.281	−1.115
	(0.142)	(0.826)	(1.155)	(1.147)	(1.165)
AME of belief measure (pp per £0.10)	1.3	1.4	4.7**	5.5***	
	($p = 0.388$)	($p = 0.370$)	($p = 0.011$)	($p = 0.006$)	
AME: good-outcome difference (pp per £0.10)					2.7**
					($p = 0.010$)
AME: bad-outcome difference (pp per £0.10)					1.7
					($p = 0.165$)
Controls	×	✓	✓	✓	✓
Passers only	×	×	✓	✓	✓
N	80	78	60	60	60
Pseudo R^2	0.007	0.098	0.248	0.263	0.252

Note: Probit estimates with robust (HC1) standard errors in parentheses. Sample restricted to the *Punishment* condition throughout. Belief differences are within-subject *(no delegation)* − *(delegation)* in expected punishment, so positive coefficients indicate that subjects who expect to be punished more harshly for not delegating (relative to delegating) are more likely to delegate. Columns (1)–(3) use the simple average of the good-outcome and the bad-outcome belief difference. Column (4) instead weights the good-outcome difference by Player A's elicited probability of producing the high payoff and the bad-outcome difference by the complementary probability. Column (5) enters the two differences separately. The *AME* rows report the average marginal effect of the belief measure entered in the respective column on the probability of delegation, in percentage points per £0.10 increase in the corresponding belief difference.

Figure 4: Delegation, performance, and confidence by condition



Appendix

Table 4: Condition balance — Player A

Variable	*Punishment*	*No-Punishment*	p-value
Age	39.026	37.886	0.557
Female	0.487	0.506	0.936
Socio-economic status	5.179	5.329	0.542
Went to uni	0.575	0.557	0.945
Technology score	2.087	2.266	0.366
Leadership position	0.362	0.329	0.783

Note: Mean values by condition for Player A, with p-values from two-sided t-tests for continuous variables and Chi-squared tests for binary variables. *Socio-economic status* is self-reported on a 1–10 scale. *Went to uni* indicates a university degree. *Technology score* is constructed from weekly device usage, programming skills, cryptocurrency knowledge, technology use at work, and similar items. *Leadership position* indicates self-reported management or supervisory experience.

Table 5: Extensive margin of punishment — probit for Pr(punishment > 0)

	Dependent variable: *Any punishment*	
	Full sample	*Passers*
	(1)	(2)
Delegated	0.002	−0.042
	(0.077)	(0.078)
Bad outcome	0.556***	0.563***
	(0.139)	(0.153)
Delegated × Bad outcome	−0.099	−0.072
	(0.095)	(0.103)
Player B belief about Player A perf.	−0.083	−0.030
	(0.075)	(0.082)
Age	−0.006	−0.013
	(0.013)	(0.015)
Female	0.115	0.230
	(0.272)	(0.291)
Socio-economic status	0.160	0.140
	(0.126)	(0.129)
Went to uni	−0.827***	−0.706**
	(0.320)	(0.349)
Technology score	0.062	−0.023
	(0.118)	(0.131)
Leadership position	0.062	−0.071
	(0.293)	(0.321)
Constant	−0.382	−0.182
	(0.807)	(0.864)
AME of Delegated (pp)	−1.8	−2.9
	($p = 0.462$)	($p = 0.285$)
AME of Bad outcome (pp)	18.1***	19.4***
	($p < 0.001$)	($p < 0.001$)
Observations	320	268
Subjects	80	67
Pseudo R^2	0.096	0.081

Note: Probit regression of an indicator for non-zero punishment ($1\{\text{punishment} > 0\}$) on a delegation indicator, a bad-outcome indicator, their interaction, Player B's belief about Player A's performance, and socio-demographic controls; the sample is stacked over the four (delegation, outcome) cells of the strategy method (4 observations per Player B). Column (1) uses the full Punishment-condition sample; Column (2) restricts to attention-check passers. Standard errors clustered at the Player B level. The *AME* rows report discrete average marginal effects on the probability of imposing any punishment, in percentage points (for Delegated, the change from $0 \to 1$ with the interaction moved consistently; for Bad outcome, likewise), computed by counterfactual prediction with p-values from a seeded 400-replication subject-cluster bootstrap. Significance: $^{*}\, p < 0.10$; $^{**}\, p < 0.05$; $^{***}\, p < 0.01$ (two-sided).

Figure 5: Player B punishment by delegation and outcome scenario, attention-check passers

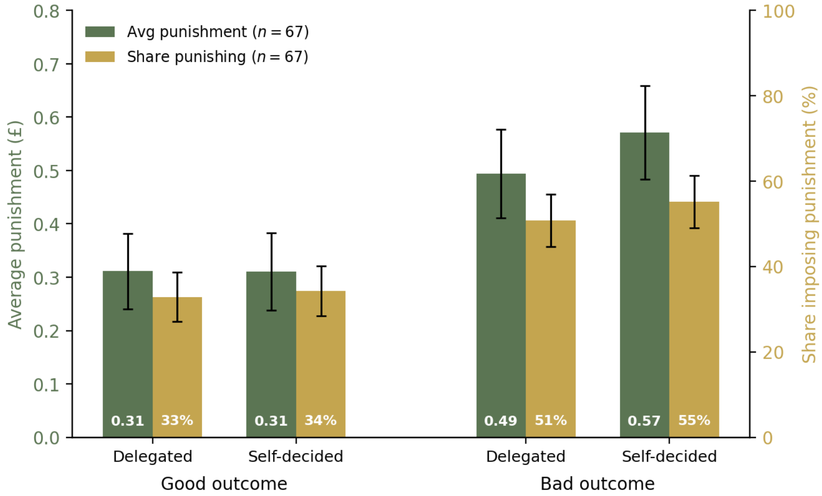


Figure 6: Realized vs. anticipated punishment, attention-check passers

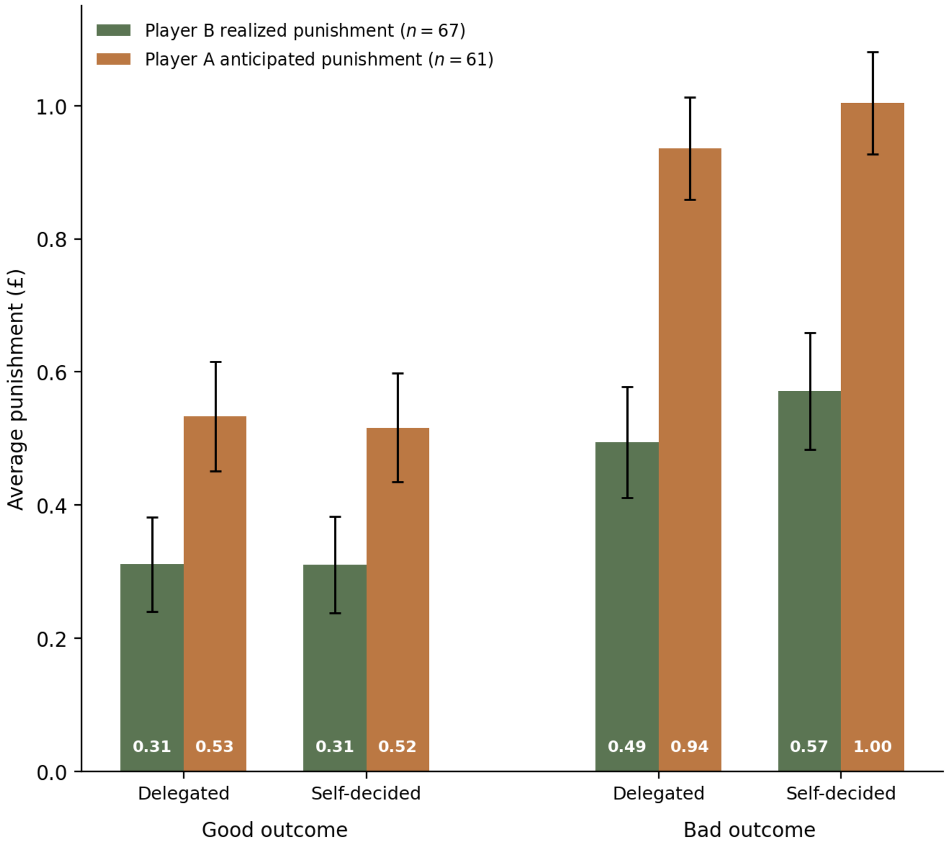


Figure 7: Hypothetical punishment by delegation and outcome scenario (*No-Punishment* condition)